

Contestant Number: _____

Time: _____

Rank: _____



BANKING AND FINANCE

(145)

STATE 2024

CONCEPT KNOWLEDGE:

Objective Questions (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer Questions (14 @ 3 points each) _____ (42 points)

Job 1: Bank Reconciliation _____ (40 points)

Job 2: Compound Interest Calculations _____ (12 points)

TOTAL POINTS _____ ***(144 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions (50 points)

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Social Security Tax is paid by _____.
 - A. The Employee
 - B. The Employer
 - C. The Employer and Employee
 - D. The Government
2. The statement, "Pay to the Order of Matt Anderson," written on the back of a check constitutes a _____ endorsement.
 - A. Restrictive
 - B. Special
 - C. Forwarding
 - D. Blank
3. A specific type of digital payment that allows an exchange of electronic transactions between participating financial institutions in the United States is a(n) _____ transaction.
 - A. ATM
 - B. EFT
 - C. RTN
 - D. ACH
4. The Federal agency that insures deposits at federally insured credit unions and protects the members who own credit unions is called the _____.
 - A. FDIC
 - B. NCUA
 - C. SEC
 - D. IRS
5. Which equation will help someone determine their net worth?
 - A. Total Amount Owed + Total Amount Owned
 - B. Total Amount Owed – Total Amount Owned
 - C. Total Assets – Total Liabilities
 - D. Total Assets + Total Liabilities
6. Which of the following is false in reference to preferred stock?
 - A. Preferred stock pays it holders a guaranteed dividend.
 - B. Preferred shareholders are paid dividends before common shareholders
 - C. Preferred stockholders do not have any voting rights.
 - D. A company cannot buy back preferred stock at its option like it can with common stock.

7. Which of the following has the lowest impact on a person's FICO score?
 - A. Payment History
 - B. Credit Mix
 - C. Amounts Owed
 - D. Length of Credit History
8. A negative credit event like a bankruptcy can have a worse impact on a good credit score than a poor credit score.
 - A. True
 - B. False
9. The employee tax rate for Medicare is _____.
 - A. 1.45%
 - B. 6.2%
 - C. 7.65%
 - D. 4.5%
10. _____ is a tax document that reports the amount an independent contractor was paid by another business for work.
 - A. Form 1040
 - B. Form W-2
 - C. Form 1099
 - D. Form W-4
11. A check that is issued but not yet received and paid by a bank is a(n) _____ check.
 - A. Voided
 - B. Outstanding
 - C. NSF
 - D. Processed
12. The type of check that would be needed for a large transaction such as paying off a house or buying a car.
 - A. Certified Check
 - B. Payroll Check
 - C. Cashier's Check
 - D. Personal Check
13. The bank directed to pay a check is called the _____.
 - A. Payee
 - B. Drawer
 - C. Payer
 - D. Drawee

14. What is another name for a Cafeteria Plan?
- A. 403B Plan
 - B. 401K Plan
 - C. Flex Plan
 - D. Section 125 Plan
15. A(n) _____ is a document containing information about your credit activity and current credit situation such as loan paying history and the status of your credit accounts.
- A. Credit Score
 - B. Credit Report
 - C. Annual Report
 - D. Reconciliation
16. Foreclosure happens when a car owner fails to make payments on their automobile loan and violates the terms of the contract.
- A. True
 - B. False
17. The day that marks the end of a certificate of deposit term is the _____ date.
- A. Declaration
 - B. Release
 - C. Maturity
 - D. Designation
18. To follow good budgeting practices, you should always try to pay a loan off early so you can eliminate paying extra money in interest.
- A. True
 - B. False
19. Payday loans _____.
- A. They are a great option if you need money before you get your paycheck.
 - B. Have lower interest rates than regular installment loans.
 - C. Are legal in every state in the U.S.
 - D. Can create a trap for a cash-strapped customer who cannot repay the loan and should be avoided.
20. When buying a home, you can lower the interest rate by making a larger down payment than required on the loan.
- A. True
 - B. False
21. Each of the following are benefits of having a good credit score except _____.
- A. A higher credit limit.
 - B. Easier approval for apartment rentals and mortgage loans.
 - C. Better insurance and loan rates.
 - D. A higher return on investments.

22. _____ is an item of value pledged to secure a loan.
- A. A Lien
 - B. A Deed
 - C. Collateral
 - D. A Curtailment
23. A deposit slip is a tool used to record deposits and checks and keep a running balance of a checking account.
- A. True
 - B. False
24. To avoid paying PMI on a mortgage loan, you need to make a down payment of _____ or more.
- A. 5%
 - B. 15%
 - C. 20%
 - D. 25%
25. Of the five Cs of Credit listed below, which one would involve analyzing your income and expenses to determine your ability to repay a loan?
- A. Capacity
 - B. Collateral
 - C. Conditions
 - D. Capital

Short Answer Questions (42 points)

1. The Schneiders are going to buy a home priced at \$135,700. They will need to make a 15% down payment and pay the following closing costs: legal fees, \$950; title insurance, \$140; property survey, \$250; inspection, \$175; loan processing fee, \$84; and recording fee, \$740.
- a) What was the amount of the down payment? _____
 - b) What was the total of the closing costs? _____
 - c) How much of the purchase price (in dollars) will they have to borrow?

 - d) How much cash will they need to pay the down payment and closing costs?

2. Marcy Jenkins must pay finance charges on a credit card balance of \$600. Her card has an APR of 15%.
- a) What will Marcy's finance charge be if her credit card company uses a monthly periodic rate?

- b) What will Marcy's finance charge be if her credit card company uses a daily periodic rate for a 31-day billing cycle?

3. Using the Rule of 72, calculate how long each of the following investments will take to double in value. Round your answers to the nearest tenth of a year.
- a) A Money Market Account with an interest rate of 3.5%. _____
- b) A 3-Year CD with an interest rate of 2.8%. _____
- c) A large company's common stock with an interest rate of 11%. _____
- d) A savings account with an interest rate of 1.2% _____
4. Find the total annual dividend received by each stockholder.

	Shares Owned	Par Value per Share	Annual Dividend Rate	Dividend
(A)	100	\$100	4.5%, annually	
(B)	650	\$100	7%, annually	
(C)	600	----	\$0.65 per share, quarterly	
(D)	150	----	\$1.20 per share, quarterly	

JOB 1: Bank Reconciliation (40 points)

Calculate the “Balance” column in the check register. Show the checks or deposits that have been cleared by the bank by placing a “√” in the “Booked” column. Record the Identity Theft Protection Fee and Service Fee on the next blank lines in the check register; use 1/31 for the date and mark them as “Booked”. Then reconcile the bank statement using the check register and the information below.

Bank Statement Information:

Bank Statement Balance	\$9,844.67
Identity Theft Protection Fee	\$2.00
Service Charge	\$3.00
Outstanding Deposits:	1/29
Outstanding Checks:	#414, #415, #416

CHECK REGISTER						
CHECK NO.	DATE	TRANSACTION	PAYMENT	BOOKED (√)	DEPOSIT	BALANCE
	1/1	Previous Balance	-----	-----	-----	524.23
412	1/2	Meijer—Snacks	20.43			
	1/11	Paycheck—Direct Deposit			475.89	
	1/12	5/3 rd Bank—Car Payment	233.35			
413	1/14	City of Columbus--Water	71.67			
	1/22	Deposit—Birthday Check			200.00	
	1/23	Withdrawal for Cash	25.00			
414	1/26	Shoe Carnival—Shoes	128.58			
	1/27	Transfer from Savings Act.			9,000.00	
415	1/28	WMU--Tuition Payment	8,979.14			
	1/29	Paycheck—Direct Deposit			380.27	
416	1/31	Forum Apts.—Share of Rent	375.00			

RECONCILIATION FORM			
		Outstanding Checks	
		Number	Amount
Ending Balance on Bank Statement Plus Outstanding Deposits Equals Subtotal Less Outstanding Checks Equals Adjusted Ending Balance			
		Total	

JOB 2: Compound Interest Calculations (12 points)

Sarah Flemming invested \$5,000 into a CD for 4 years. The CD earns 3% interest compounded annually. Calculate the beginning balance, interest, and ending balance for each year her money is invested. Round all dollar amounts to the nearest cent.

Year	Beginning Balance	Interest	Ending Balance
1			
2			
3			
4			